Agilent Technologies

Agilent Technologies Third Quarter Fiscal 2023 Conference Call Prepared Remarks

Parmeet Ahuja

Thank you Beau, and welcome everyone to Agilent's conference call for the third quarter of Fiscal Year 2023. With me are Mike McMullen, Agilent president and CEO, and Bob McMahon, Agilent senior vice president and CFO.

Joining in the Q&A after Mike and Bob's comments will be Jacob Thaysen, president of the Agilent Life Science and Applied Markets Group; Sam Raha, president of the Agilent Diagnostics and Genomics Group; and Padraig McDonnell, president of the Agilent CrossLab Group.

This presentation is being webcast live. The news release for our third quarter financial results, investor presentation and information to supplement today's discussion, along with a recording of this webcast, are available on our website at www.investor.agilent.com.

Today's comments by Mike and Bob will refer to non-GAAP financial measures. You'll find the most directly comparable GAAP financial metrics and reconciliations on our website.

Unless otherwise noted, all references to increases or decreases in financial metrics are year-over-year and references to revenue growth are on a core basis. Core revenue growth excludes the impact of currency, and any acquisitions and divestitures completed within the past 12 months. Guidance is based on forecasted currency exchange rates.

During this call we will also make forward-looking statements about the financial performance of the company. These statements are subject to risks and uncertainties and are only valid as of today. The company assumes no obligation to update them. Please look at the company's recent SEC filings for a more complete picture of our risks and other factors.

And now, I'd like to turn the call over to Mike.

Mike McMullen

Thanks, Parmeet. And thanks everyone for joining our call.

In today's call, I'll walk you through our Q3 results, share what we're now seeing in the market and provide context for our revised full year outlook. I'll then turn things over to Bob for more detail on the quarter and outlook before returning for some brief closing comments.

The Agilent team continues to execute well as we navigate our way through the ongoing challenges of the current market environment.

Our Q3 revenue is 1.67 billion dollars, at the top end of our expectations. This is a decline of 2 percent on a core basis against a tough compare of 13 percent in Q3 of last year.

We continue to be proactive and are taking steps to help us deliver on our leveraged earnings model. Operating margins are 29.3 percent, up 180 basis points. Quarterly earnings per share of $1.43 are up 7 percent and above our expectations.

The major driver behind our Q3 year-on-year decline in revenue is our China business. Excluding China, the rest of Agilent grew 2 percent, which was better than expected.

We knew we were up against a difficult compare in China and had previously guided for lower China revenues in Q3. However, the economy in China continued to weaken during the quarter, translating into a more challenging market environment than we had anticipated.

With the softer market conditions in China and continued global macroeconomic challenges, we have lowered growth expectations for the remainder of the fiscal year. We now expect core growth for the full year to be around 1 percent, down from our previous guide. Based on what we're seeing at this time, we're not assuming any improvement in the China market for the remainder of the year.

We, however, view the near-term challenges we're experiencing as transitory and remain confident about the long-term growth prospects of our end markets.

Returning now to our third quarter results, I'd like to touch on our two largest end markets.

Our total **pharma** business is down 8 percent, driven by the pharma market in China being down 30 percent. Within pharma, our biopharma business grew 5 percent while small molecule was down 16 percent.

The **chemical and advanced materials** market declined 3 percent versus a 22 percent increase last year. While we did see the chemical and energy space being weighed down by macro concerns, slowing growth in advanced materials was more a function of a difficult compare as volumes have remained steady and robust.

Looking at our performance by business unit, the **Life Sciences and Applied Markets Group** delivered revenues of 927 million dollars. This was a decline of 9 percent off a very tough compare of 18 percent growth. Last year's growth was helped by the benefits of the recovery from the Q2 2022 Shanghai shutdown.

LSAG's performance continues to be affected by the market environment in China across all end markets and pharma globally. Our sales funnels remain healthy and are up year-on-year, but deal velocity continues to slow as customers remain cautious in making capital purchases. We expect this market environment for new instrument purchases to continue for the rest of the year. At this time, we are not assuming any benefit from a year end budget flush or incremental stimulus in China.

As we've said before, we are continuing to prioritize investing in innovation. As an example, in June, Agilent's investments in innovation were on full display at the annual ASMS conference. The LSAG team introduced new products and comprehensive workflows to enhance data quality and productivity for our customers. These include two new LCMS systems, a new PFAS workflow solution and AI software for data analysis, among others.

The **Agilent CrossLab Group** posted revenue of 396 million dollars. This is up an impressive 11 percent core with growth in all regions and end markets as customers continue to embrace our value proposition. We continued to see strong demand for our services as we help customers drive productivity in the lab.

The **Diagnostics and Genomics Group** delivered revenues of 349 million dollars, up 3 percent core. Pathology grew high-single digits as demand for our diagnostic tests continues to grow. Our NASD business grew high teens. This growth was partially offset as we are continuing to see market weakness for our genomics and Resolution Bioscience businesses.

Regarding Resolution Bioscience, the market for kitted NGS-based companion diagnostics has not developed as we expected. Furthermore, we don't see a realistic path to profitability. As a result, we've made the difficult decision to shut down the business.

However, our investments in future growth continue. For example, we achieved an important milestone during the quarter when our NASD business generated the first revenues from our Train B investment in Frederick, Colorado.

Now looking forward for the company, as we navigate this challenging macroeconomic environment, we remain confident in the Agilent team and our ability to continue driving leveraged earnings growth using our “Agile Agilent” framework. We’ve faced challenges before and we’re taking actions now that will make us stronger and position us well for the future.

As we stated last quarter, we’re “doubling down” on delivering cost efficiencies and increasing productivity. The goal is to generate additional cost savings so we can continue to invest in innovative new solutions and support for our customers as we enable future profitable growth. We are on-track to achieve the cost savings we’ve targeted for the second half of this year.

We are in attractive markets that will produce long term growth. Our innovation engine remains strong, and the battle tested One Agilent team is driving outstanding execution.

Bob will now provide the details on our results as well as our outlook for the remainder of the year. After Bob delivers his comments, I will be back to provide some closing remarks.

And now, Bob, over to you.

Bob McMahon

Thanks Mike, and good afternoon everyone. In my remarks today, I will provide some additional details on revenue in the quarter, as well as take you through the income statement and other key financial metrics. I'll then finish up with our updated guidance for the full year and our fourth quarter outlook. Unless otherwise noted, my remarks will focus on non-GAAP results.

Q3 revenue was 1.67 billion dollars, a decline of 2.3 percent core and down 2.7 percent on a reported basis. This compares with 13.2 percent core growth last year. Currency was a half-point headwind, while M&A contribution was minimal. As you may recall, Q3 of last year benefitted from roughly 35 million dollars in revenue deferred from the second quarter as we ramped back up from the Shanghai shutdown in China. Accounting for this, our Q3 core growth would be roughly flat versus a year ago.

As Mike mentioned, **pharma** our largest end market, declined 8 percent. This is in-line with our reduced expectations coming out of Q2 with underperformance in China offset by better performance in the rest of the world.

The **chemicals and advanced materials** market was down 3 percent off a very tough 22 percent compare but dollar-wise, was flat sequentially.

The **academia and government** market was up 5 percent with all regions showing growth, except the Americas, which was flat.

Our business in the **diagnostics and clinical** market grew 3 percent driven by high single digit growth in pathology partially offset by genomics weakness.

The **environmental and forensics** business grew 2 percent driven by double digit growth in the Americas and Europe. The growth was generated by the build out of water infrastructure projects and an expansion of funding for PFAS-related activities.

The **Food** market grew 1 percent based on strength in Asia outside of China and mid-single digit growth in Europe driven by new food testing regulations.

On a geographic basis, while China underperformed, the Americas and the rest of Asia were better than expected while Europe was in line with our expectations.

Moving down the P&L, third quarter gross margin was 56.3 percent, down 10 basis points from a year ago. Like last quarter, this was largely due to the product and services mix. Pricing was slightly better than our expectations.

Below gross margin, the expense reduction actions we initiated in the second quarter helped strengthen operating margins. We also benefited from a reduction in variable pay expenses. As Mike mentioned, margins were 29.3 percent, up 180 basis points from last year.

Below the line, our interest income was higher than planned, while our tax rate was 13.75 percent and we had 295 million diluted shares outstanding.

Putting it all together, Q3 earnings per share were $1.43, up 7 percent from a year ago – a very good result given declining revenue.

Now let me turn to cash flow and the balance sheet.

I continue to be pleased with our cash flow generation this year. Cash flow from operations was 562 million dollars in the quarter and is 1.3 billion dollars year-to-date. In Q3, we invested 81 million dollars in capital expenditures totaling 214 million dollars year-to-date -- effectively flat year on year as we continue to optimize our capex spending.

Given the strong year-to-date results, we are increasing our free cash flow forecast for the year to 1.2 billion dollars comprised of operating cash flow of 1.5 billion dollars and capex of 300 million dollars. This is an increase of $250 million from the midpoint of our previous guidance.

Despite the challenging macroeconomic conditions, our balanced capital allocation strategy is intact. During the quarter, we returned 401 million dollars to shareholders -- 66 million dollars through dividends and repurchased shares worth 335 million dollars. This ongoing, balanced approach to capital deployment is another example of the confidence we have in our team and our belief in the long-term strength of our markets.

Before getting into the revised full year outlook, I want to mention we have taken a 291-million-dollar pre-tax charge in Q3 associated with the decision to shut down the Resolution Bioscience business. This charge, which is excluded from non-GAAP results, includes an impairment write-down along with charges associated with the wind down and exit of the business. We expect the wind down to continue through Q4 and into early FY24.

Now to the revised outlook for the year and Q4. Given the more challenging macroeconomic environment we are seeing, particularly in China, we now expect full year revenue to be in the range of 6.80 to 6.85 billion dollars. This represents a decline of 0.7 percent to flat on a reported basis, and core growth of 0.8 to 1.5 percent.

This is a core growth reduction of 260 basis points from the mid-point of our last guide. Roughly 85 percent of the change is related to reduced expectations in China, while the remainder is due to some incremental cautiousness from our customers on CapEx spend as well as softness in genomics and the shutdown of Resolution Bioscience. As Mike said earlier, we are not assuming any incremental stimulus in China or any material year-end budget flush in these revised projections.

Given the large change in China, I wanted to provide some additional perspective on how we are forecasting the rest of the year, recognizing that the market continues to be very dynamic.

To provide context, in Q3 through June our business in China was tracking to a mid-single digit decline in revenue, which was in line with our expectations. However, in July, we saw a further deterioration in China resulting in the 17 percent decline for the quarter.

And while the Q3 decline in China was centered in pharma, which was down 30 percent, we did see weakness in the other end markets as well. We expect the conditions we've seen in July to persist in China for Q4.

In addition, we are facing our most difficult quarterly compare in China where we grew 44 percent in Q4 of last year. We are now expecting Q4 to decline in the mid 30's year-on-year. For the full year, we are expecting China to decline mid-single digits versus growing mid-single digits.

With the change in revenue, we now expect full year fiscal 2023 non-GAAP earnings per share to be between $5.40 and $5.43, representing leveraged earnings growth of 3 to 4 percent and roughly 6 to 7 percent growth, net of currency.

The change in full year guide results in Q4 revenue being in the range of 1.655 to 1.705 billion dollars. This represents a decline of 8 to 10.5 percent on a reported basis and a decline of 9.5 percent to 12 percent on a core basis. The recovery last year in Q4 of the remaining revenue deferred from the Shanghai Q2 shutdown, negatively impacts the year-on-year results by roughly a point.

And fourth quarter non-GAAP earnings per share are expected to be between $1.33 and $1.36.

Thanks for being on the call. And now, I will turn things back over to Mike for some closing comments before taking your questions. Mike?

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Mike McMullen

Thanks Bob.

While today’s macro environment is challenged for new instrument purchases, we remain confident in the long-term growth prospects of our end markets, the diversification of our business, and in our proven ability to grow faster than the market.

I’d like to share a few examples on why my confidence remains intact despite near term challenges.

In pharma, our largest end-market, innovation, and advances in medicines continue with new therapeutics flowing into the market. The demographic drivers of this market are on our side – a growing global population that expects access to healthcare and extending life expectancy to be key priorities from their governments. Our market leading solutions are critical to the innovation behind new therapeutics and ensuring the safety and quality of on-market drugs.

In the applied markets, growing PFAS testing, and the electric vehicle transition are here to stay, ushering in new opportunities for growth. Everyone wants to have safer water to drink, food to eat and air to breathe. And the search for, and production of more sustainable materials and energy sources remains a global priority.

Agilent is a diversified leader in a unique position to help our customers drive their solutions. We remain a trusted partner our customers know they can rely on, in both good and challenging times. Our combination of leading instrumentation and world class customer support is a long-term competitive advantage.

At the heart of this long-term competitive advantage is the Agilent team and the One Agilent culture. You see this reflected in our recent recognition on GlassDoor and in being named a Great Place to Work in all 27 countries and territories around the world where we qualify for certification.

We have a company mission focused on advancing the quality of life. To learn more about this, I would encourage you to review the latest edition of the ESG report that we issued last month.

We are proactively managing the company through the short term, always with an eye toward our customers and on the long term. We have been proactive in managing our business to drive leveraged earnings, but not at the expense of customer satisfaction and future growth.

Yes, these are challenging times, but we have the team, the strategy and the right culture that will deliver long term success.

Thank you for joining us today. And now, over to you Parmeet to lead the question-and-answer session. Parmeet?

Parmeet Ahuja

Thanks Mike. Beau, if you could please provide instructions for the Q&A now.

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